Development Deal Performance & Returns Report

⚠ CAPITAL CALL REQUIRED

Sample Deal · Sample Adress

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● DSCR ADEQUATE ✓ LP PREF MET

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BANK · 65.00% · $6.50M	LP · 25.00% · $2.50M	GP · 10.0%

RETURNS

LP IRR	10.72%
Income 6.48% · Apprec +5.18%/yr · Leverage -0.95%	
LP MOIC	**2.34x**
GP IRR	**11.03%**
GP MOIC	**2.31x**
Equity Profit (LP+GP)	**$5.90M**
LP Total Receipts	**$7.40M**
GP Total Receipts	**$2.93M**

FINANCING & ASSUMPTIONS

Total Cost	**$10.00M**
Bank Loan (65% LTC)	**$6.50M**
	⚠ RECOURSE LOAN — Personal guarantee in effect
Construction Period	**24 mo @ 7.25% (constr. rate)**
Perm Loan (44% LTV)	**$6.70M @ 6.00%**
Refinance	**Month 30 (user-defined)**
Extension Fee (0.25%)	**$18K — capitalized at Month 24**
LP Equity	**$3.16M**
GP Equity	**$1.26M**
Hold Period	**10.0 yrs (2.0yr constr + 8.0yr ops)**
Lease Ramp	**ON — 6 mo from 0% → 93% occ.**
Stabilized NOI	**$648K/yr**
Exit Cap Rate (Target)	**5.00%** (on Exit NOI $759K)
Implied Cap Rate (memo)	**4.27%** (on Stabilized Yr-1 NOI $648K)

NOI Growth (2.00%/yr) compounds actual ops cash flow every year from Year 2 on — it drives distributions, DSCR, mezz/pref coverage, the Pro Forma, and the CSV, not just the exit figure. Exit NOI above is a separate forward-priced number (Forward NOI basis), so it won't match any single ops-year's NOI elsewhere in this report. Only DSCR-at-stabilization, auto-sized reserves, and the sensitivity matrix stay pinned to the flat Stabilized Yr-1 NOI shown here.

Gross Sale Price	**$15.18M**

DEAL STRUCTURE

Preferred Return (Promote Hurdle)	**8.00%**
GP Mgmt Fee	**1.50%/yr on LP equity — $474K lifetime total**
LP / GP Promote (T1 base)	**80% / 20%**
T2 (>12.0% IRR)	**70% / 30%**
T3 (>15.0% IRR)	**60% / 40%**
Loan Draw Schedule	**S-Curve**

Interest Methodology: Calculated monthly on actual draws. S-Curve schedule = logistic front-weighted funding over 24 months → $620K total construction interest.

Capital Draw Schedule	**S-Curve**

COST BREAKDOWN

Land	**25.0%**
Hard Cost	**55.0%**
Soft Cost	**12.0%**
Contingency	**8.0%**

RISK & COVERAGE

DSCR (P&I basis)	**1.25x**
Net DSCR (Agency — net of Repl. Reserve)	**1.15x**
DS — P&I (DSCR basis)	**$518K/yr**
DS — I/O (first 24 mo)	**$402K/yr**
Stabilized YOC	**6.48%**
Stabilized NOI Yield on Equity	**14.64%**
Bridge Risk	**No**
Capital Call (LP + GP)	**⚠ $762K**
→ Refi Shortfall	**$762K**
Stabilized DSCR / LP IRR	**1.25x / 10.72%**

Chronological Cash Flow

① CONSTRUCTION LOAN		
Bank Principal	$6.50M	42.8%
Construction Interest (capitalized)	$620K	4.1%
Total Construction Claim	**$7.12M**	**46.9%**
② REFI AT COMPLETION		
Perm Loan Funded	$6.70M	44.2%
Refi Transaction Cost	($67K)	-0.4%
③ OPERATING PHASE (8.0 yrs)		
Bank Interest paid	$3.66M	24.1%
GP Mgmt Fee paid	$474K	3.1%
LP ROC (ops)	$922K	6.1%

LP IRR Sensitivity (Blended Bank Rate × Exit Cap Rate)

— full model at actual deal settings; highlighted cell (yellow border) = actual inputs = headline IRR

Blended \ Cap	4.50%	4.75%	5.00%	5.25%	5.50%
5.74%	13.49%	12.60%	11.71%	10.85%	9.97%
5.99%	13.01%	12.11%	11.22%	10.35%	9.45%
6.24%	12.53%	11.62%	10.72%	9.85%	8.93%
6.49%	12.06%	11.13%	10.22%	9.35%	8.71%
6.74%	11.60%	10.66%	9.75%	8.87%	8.76%

After-Tax Impact

Pre-Tax LP IRR	**10.72%**
After-Tax LP IRR	**10.23%**
IRR Drag (Tax)	**−0.49 pp**

④ SALE / EXIT

Gross Sale Price	$15.18M	100.0%
Exit / Disposition Cost	($304K)	-2.0%
Net Sale (distribution pool)	**$14.88M**	**98.0%**
Bank repaid (all phases)	$5.95M	36.6%
LP Total (all phases — ROC + Pref + Promote)	**$7.40M**	**45.5%**
GP Total (all phases — Mgmt Fee + ROC + Pref + Catchup + Promote)	**$2.93M**	**18.0%**

Lifetime totals: includes distributions at construction close, refi, operating phase, and exit. Per-tier breakdown by phase on Exhibit page.

Pre-Tax MOIC	**2.34x**
After-Tax MOIC	**2.24x**
Total Gain at Exit	**$6.55M**
Total Tax at Exit	**$573K**
→ Recapture	**$573K**
→ Cap Gain	**$0**
After-Tax LP Total	**$7.07M**

TAX SETTINGS

NIIT (§1411)	**ON**
RE Professional	**NO — passive**

K-1 INCOME (YR 1)

Ordinary Income	**($54K)**

EXIT GAIN

§1250 Recapture (25%)	**$2.29M**
§1231 Cap Gain	**$4.26M**

Opportunity Zone — ✓ Qualifies (hold ≥ 10 years). Cap gains tax eliminated: **$1.01M**. Depreciation recapture (§1250) is NOT OZ-exempt and remains fully taxable.

Development Deal Performance & Returns Report — Exhibits

Exit distribution · LP cash flows · Deal analytics · Generated 2026-07-29 17:45

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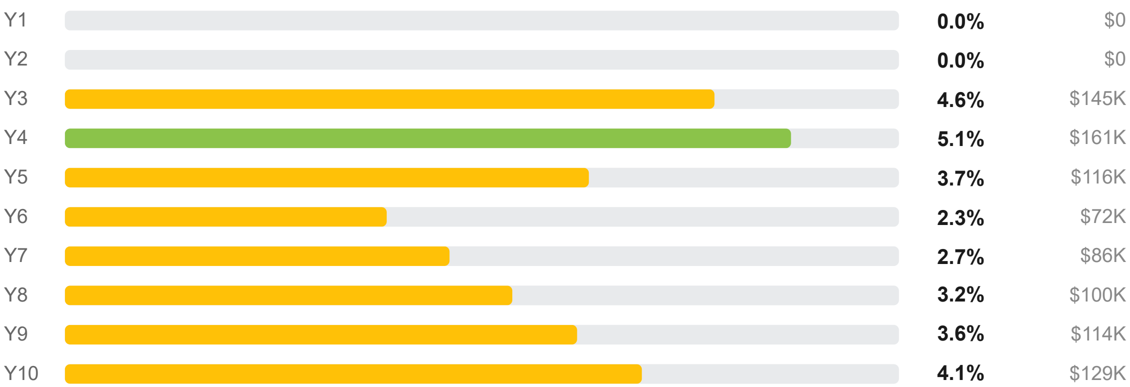
Exit Distribution — Where $15.18M Goes

Gross Sale: **$15.18M** → Net Sale Pool: **$14.88M** (after $304K disposition cost)

Recipient	Amount	% of Net Sale Pool ($14.88M)
Bank Repaid	$5.95M	40.0%
LP ROC	$2.24M	15.0%
GP ROC	$1.26M	8.5%
LP Pref	$3.12M	21.0%
GP Catchup	$779K	5.2%
LP Residual	$1.12M	7.5%
GP Promote	$409K	2.7%
Total Distributed	**$14.88M**	**100.0%**

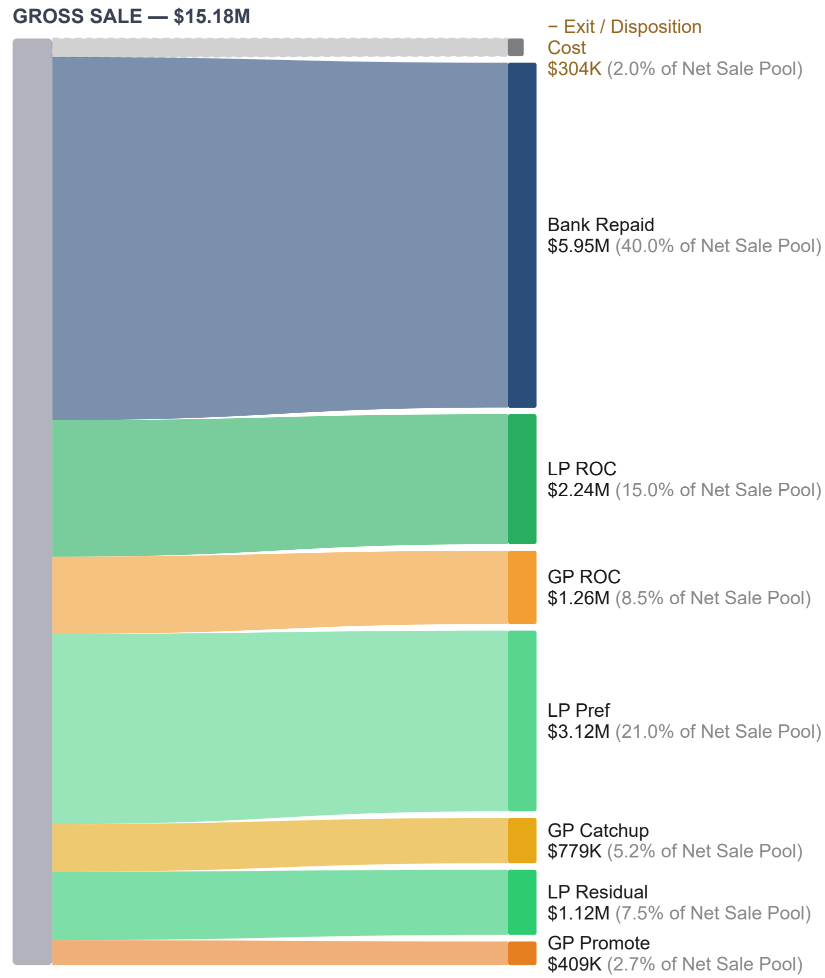
↑ *Exit-phase distributions only. Prior phases: LP ROC: additional $922K returned during ops/refi. Full lifetime totals in Cash Flow section.*

LP Cash-on-Cash by Year (Pre-exit distributions, incl. refi close)



Total operating distributions: $922K · Avg annual: $92K · Overall CoC: 29.2%

Exit Distribution — Sankey Flow



Sankey shows exit waterfall distributions. Waterfall priority: Disposition Cost → Bank → Mgmt Fee → LP ROC → LP/GP Pref → GP Catchup → Promote. Percentages are % of Net Sale Pool ($14.88M) — same basis as the "% of Net Sale Pool" column in the table below. Disposition cost $304K shown as a leakage item; net pool after it = $14.88M. GP Mgmt Fee ($474K) fully paid from ops NOI — not in exit pool.

Development Deal Performance & Returns Report — Exhibits

Exit distribution · LP cash flows · Deal analytics · Generated 2026-07-29 17:45

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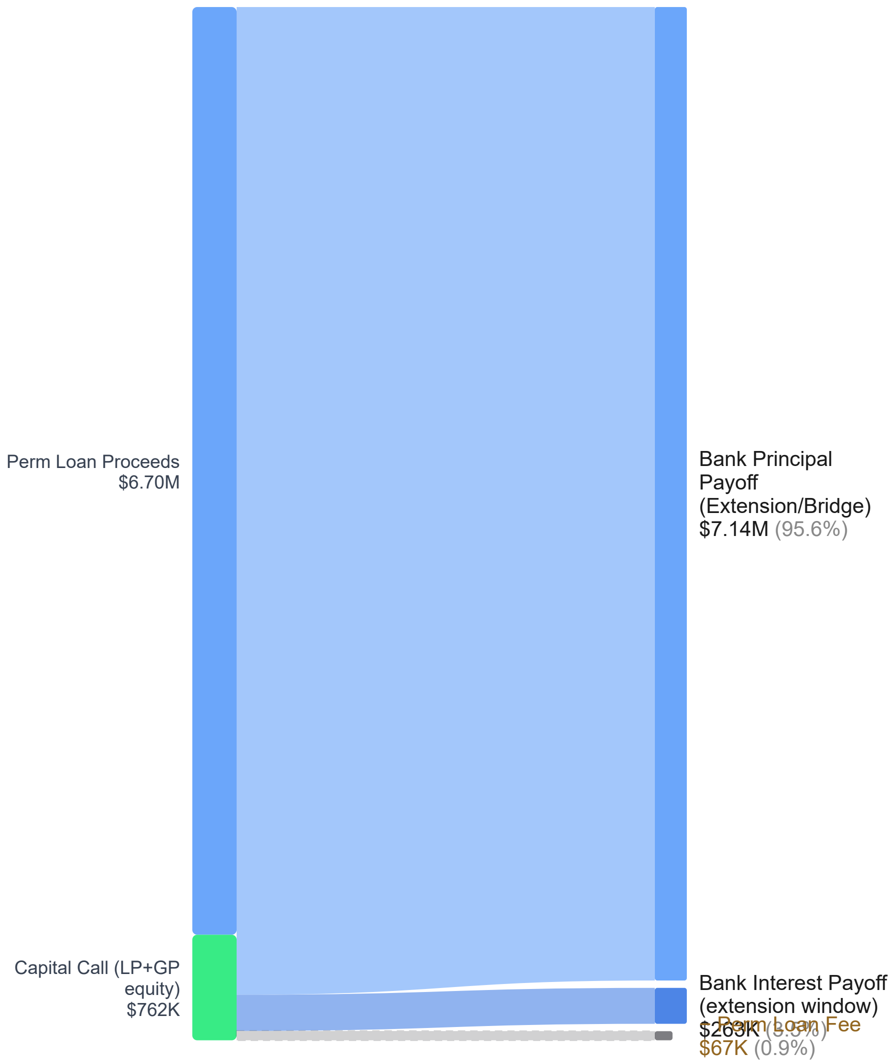
Refi Distribution — Where the Loan Proceeds Go

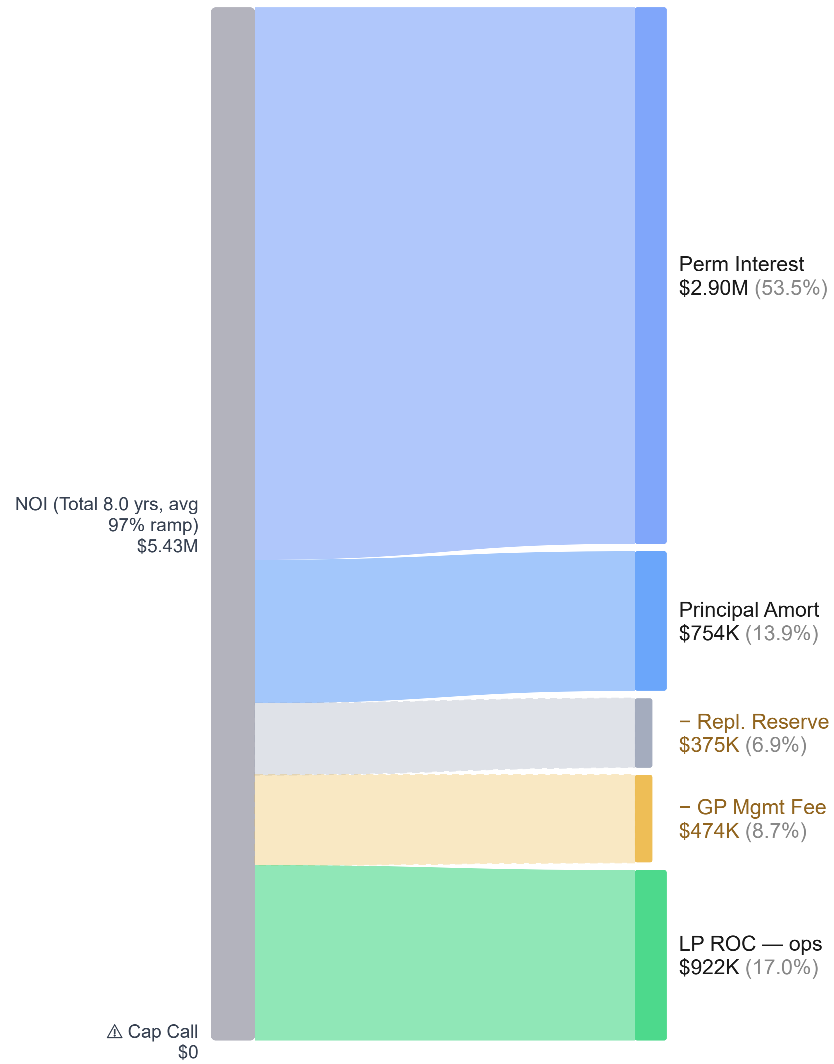
Perm Loan Proceeds + Capital Call (LP+GP equity) — $7.47M



Sankey shows the refinance event: perm loan proceeds (+ capital call, if any) and where they land. Shortfall — capital call funds the gap; no further distribution until operations catch it up.

NOI Distribution — Where Cumulative NOI Goes

NOI (Total 8.0 yrs, avg 97% ramp) + ⚠ Cap Call — $5.43M



Sankey shows cumulative operating-period NOI and where it goes before any sale event. ⚠ Red segment = months where DS + Repl.Rsv/TI/LC exceeded NOI — gap funded by DS Reserve.

Development Deal Performance & Returns Report — Appendix A: Model Methodology (1 of 2)

Formula Reference & Calculation Audit Trail · Generated 2026-07-29 17:45

All values in this report are derived from the formulas below. The model applies institutional-grade CRE waterfall mechanics: senior debt priority → management fee → return of capital (pari passu) → preferred return → GP catchup → promote split. IRR is computed via Newton-Raphson iteration on monthly LP cash flows. No shortcuts, approximations, or hard-coded returns are used. Investors and auditors may reproduce any figure by applying these formulas to the inputs shown on pages 1–2.

PERFORMANCE METRICS

LP IRR	`Newton-Raphson: r s.t. Σ(CF_t/(1+r)^t) = 0`	*Monthly compounding on LP net cash flows t=0…exit*
LP MOIC	`Total LP Distributions ÷ LP Equity Invested`	*Includes ROC + Pref + Promote + GP Clawback received*
GP IRR	`Same Newton-Raphson on GP net cash flows`	*GP CF = Mgmt Fee + ROC + Pref + Catchup + Promote (all GP inflows; Mgmt Fee is GP compensation, not a deduction)*
GP MOIC	`Total GP Distributions ÷ GP Equity Invested`	
Equity Profit	`(Total LP + Total GP) − (LP Invested + GP Invested)`	*Profit above total equity invested — invested includes capital calls*
DSCR	`Stabilized NOI ÷ Annual Debt Service (P&I basis when the loan amortizes; I/O only for whole-life-IO loans)`	*Computed at perm loan stabilization; 0 if no debt*
Stabilized YOC	`Stabilized NOI ÷ Total Project Cost`	*Unlevered yield on full cost basis*
Stabilized NOI Yield on Equity	`Stabilized NOI ÷ (LP Equity + GP Equity)`	*Levered NOI yield on equity deployed*
Exit Price	`Stabilized NOI ÷ Exit Cap Rate`	*Implied sale price before disposition costs*

DEBT & LOAN MECHANICS

Construction Loan	`Total Cost × LTC%`	*Loan-to-Cost — applied to selected cost basis*
Constr. Interest	`Distressed/Bridge: Loan × Draw Factor × Rate × Period (yrs). Development/Renovation: monthly balance-accrual simulation (capitalizing)`	*Distressed/Bridge Draw Factor (closed-form input): Lump=1.0, Linear=0.50, S-Curve≈0.55. For Development/Renovation, the Draw Factor shown elsewhere is a derived avg-balance statistic (owed interest ÷ (Loan × Rate × Period)), not a calculation input — draw timing is simulated month-by-month*
Bank Total Claim	`Constr. Loan + Capitalized Interest`	*Retires at refi or exit*
Perm Loan (LTV)	`Exit Price × LTV%`	*Loan-to-Value sizing*
Perm Loan (DY)	`Stabilized NOI ÷ Min Debt Yield%`	*Debt Yield constraint*
Perm Loan (DSCR)	`Stabilized NOI ÷ (DSCR_min × Perm Rate)`	*DSCR constraint*
Binding Constraint	`min(LTV, DY, DSCR) loan size`	*Most restrictive sizing wins (Pro)*
DS — I/O Phase	`Perm Loan × Perm Rate ÷ 12 per month`	*Interest-only; no principal reduction*
DS — P&I Phase	`Loan × [i(1+i)^n ÷ ((1+i)^n−1)]`	*i = monthly rate; n = amort months*
Refi Net Proceeds	`Perm Loan − Const. Claim − Refi Fee − Reserve`	*Positive = surplus for distribution*

OPERATING PERIOD CASH FLOWS

Monthly NOI	`Stabilized NOI ÷ 12 (Year 1 basis)`	*Ramp-up applies S-curve if enabled (see below); if NOI Growth is on, this figure escalates annually starting Year 2 — see Model Scope & Stated Assumptions*
Monthly DS	`Annual Debt Service ÷ 12`	*I/O or P&I per loan phase*
NOI Pool / mo	`Monthly NOI − Monthly DS`	*Available for waterfall distributions*
Mgmt Fee / mo	`LP Equity × Mgmt Fee Rate% ÷ 12`	*Annual AUM-based fee (not NOI-based); deducted from NOI pool monthly*
Mezz Interest / mo	`Mezz Balance × Mezz Rate% ÷ 12`	*Paid from NOI after senior DS; coverage-capped — unpaid portion accrues to balance (PIK)*
Pref Eq Coupon / mo	`Pref Contribution × Coupon% ÷ 12`	*Paid after mezz DS; coverage-capped with PIK accrual; redeemed at refi/exit ahead of common equity*
Pref Accrual / mo	`(Unreturned Capital + Prior-Period Unpaid Pref) × Rate ÷ 12`	*Compound: unpaid pref earns interest-on-interest. Compound base refreshes monthly.*
Pref Paid / mo	`min(NOI after Mgmt, Pref Accrued & Unpaid)`	*Pref paid pari passu LP/GP by equity %*
Ops Residual / mo	`NOI after Mgmt & Pref (if any surplus)`	*Split LP/GP at promote %*
Lease Ramp NOI(t)	`NOI × occ(t) ÷ Stabilized_Occ`	*occ(t) = S-curve from current→stabilized over ramp months*
S-Curve Occ(t)	`Occ_curr + (Occ_stab−Occ_curr) × σ((t−mid)÷scale)`	*σ = logistic function; mid = ramp_months÷2*

NOI ADJUSTMENTS & OPERATING RESERVES

Replacement Reserve (annual)	`$50K/yr → deducted post-DS`	*Post-stabilization Replacement Reserve modeled as a cash deduction, not a segregated reserve account. $0 during lease ramp-up (TI already in construction budget). No return at exit. Allow Deferral is OFF, but NOI surplus is sufficient — no capital call triggered.*
Net Distributable Cash (NDC)	`max(NOI − DS − TI/LC − Repl.Rsv, 0)`	*Distributable cash floored at $0/month before waterfall allocations.*

EQUITY DISTRIBUTION — PRIORITY ORDER

#	Recipient	Formula / Amount	Notes
1	**Senior Debt**	`Bank Principal + Accrued Interest`	*First lien; always paid before equity*
2	**GP Mgmt Fee**	`LP Equity × 1.50%/yr (monthly accrual)`	*Asset management fee; deducted from NOI pool monthly before distributions*
3	**LP ROC**	`LP Equity Invested (100%)`	*Return of contributed LP capital; pari passu with GP ROC*
4	**GP ROC**	`GP Equity Invested (100%)`	*Return of contributed GP capital*
5	**LP Pref**	`(Unreturned LP Capital + Unpaid LP Pref) × 8.00% ÷ 12 / mo`	*Compound pref (monthly): interest-on-interest on unpaid balance. Paid from NOI during ops, residual at exit.*
6	**GP Pref**	`(Unreturned GP Capital + Unpaid GP Pref) × 8.00% ÷ 12 / mo`	*Pari passu with LP pref by equity %*
7	**GP Catchup**	`Target = LP Pref Paid × (GP% ÷ LP%)`	*Catches GP to proportional share of total pref pool*
8	**Promote Split**	`T1: 80%LP/20%GP · T2 (>12.0% IRR): 70%LP/30%GP · T3 (>15.0% IRR): 60%LP/40%GP`	*Multi-tier: hurdle measured by IRR; each tier applies to residual above its threshold*
↩	**GP Clawback**	`min(GP Prior Promote, LP Pref Shortfall)`	*GP returns prior promote if LP pref was short at exit (Pro)*

Development Deal Performance & Returns Report — Appendix A: Model Methodology (2 of 2)

After-Tax Calculation & Stated Assumptions · Generated 2026-07-29 17:45

EXIT & SALE MECHANICS

Gross Sale Price	Exit NOI ÷ Exit Cap Rate	*Exit NOI = flat Yr-1 NOI, or escalated terminal NOI if NOI Growth is enabled — see Model Scope & Stated Assumptions table*
Net Sale Price	Gross Sale − (Gross × Disposition Cost%)	*Pool available for waterfall; Gross = Net if cost = 0*
Pref Due at Exit	LP/GP Equity × Pref Rate × Hold Years − Pref Paid Pre-Exit	*Remaining pref obligation settled from sale proceeds*
Exit Bank Claim	Perm Balance at Exit + Accrued Exit Interest	*P&I amort reduces balance if amort active*
Perm Balance	Loan × (1+i)^k − Pmt × [(1+i)^k−1] ÷ i	*k = months elapsed in P&I phase; 0 if I/O only*
GP Clawback	max(LP_Pref_Due − LP_Pref_Paid, 0)	*Shortfall triggers; capped at GP promote received*
Equity Profit	LP Total + GP Total − LP Invested − GP Invested	*Net profit; invested basis includes capital calls*

MODEL SCOPE & STATED ASSUMPTIONS

NOI Growth	Ops: Year-1 NOI $648K, growing 2.00%/yr from Year 2 (8.0 ops yrs). Exit (Forward NOI): $648K × (1+2.00%)^8.0 = $759K → ÷ cap	*Ops cash flow (distributions, DSCR after Year 1, mezz/pref coverage) grows at this same rate every year starting Year 2 — see Annual Pro Forma. Exit NOI is a separate forward-pricing figure, not a repeat of any single ops-year NOI. Only DSCR-at-stabilization, auto-sizing reserves, and the sensitivity matrix use the flat Year-1 NOI.*
Interest Accrual	Compound preferred return (monthly)	*Unpaid pref earns interest-on-interest; accrues monthly; paid as NOI allows*
Equity Timing	LP + GP equity deployed via S-curve over 24-month construction/bridge period	*Capital draw schedule governs LP/GP equity deployment timing*
After-Tax Scope	Asset-level tax only; not investor K-1 or fund-level	*PAL limits, AMT, NIIT, state taxes not modeled*
Draw Factors	Distressed/Bridge: Linear = 0.50, S-Curve ≈ 0.55 (closed-form multiplier)	*Development/Renovation deals instead run a real monthly balance-accrual simulation; the Draw Factor shown for those is a derived reporting statistic (avg balance ÷ loan), not a model input*
1031 Exchange	Perfect deferral: exit tax = $0 if elected	*Structural/timing rules (45-day ID) not enforced*
Mid-Hold Capex	$50K/yr deducted monthly from distributable NOI before waterfall (total: $400K over 8.0 yr ops)	*Reduces LP/GP distributions each operating year. Modeled as consumed capex (not a segregated reserve account).*

AFTER-TAX CALCULATION (WHEN ENABLED)

Building Basis	(Total Cost + Cap. Constr. Interest) × Building %	*§263A: constr. interest capitalizes for dev/reno; Building % from cost breakdown or user input*
Land Basis	(Total Cost + Cap. Constr. Interest) × Land %	*Land never depreciates; retains full basis at exit*
Annual Depreciation	Building Basis ÷ Useful Life (or bonus-dep avg)	*27.5 yr residential · 39 yr commercial · Bonus methods front-load via ~20% eligible Y1*
Accum. Depreciation	Annual Depr. × Hold Years	*Reduces building basis at exit; capped at building basis*
Total Adjusted Basis	Land Basis + (Building Basis − Accum. Dep.)	*Full tax basis including non-depreciable land*
Recapture Tax	Accum. Depreciation × Recapture Rate (25%)	*Unrecaptured §1250 gain taxed as ordinary*
Taxable Cap Gain	Total Gain − Recapture Amount	*Gain above total adjusted basis less recapture*
Cap Gain Tax	Taxable Cap Gain × LTCG Rate	*Long-term rate if hold > 1 year*
Total Exit Tax	Recapture Tax + Cap Gain Tax	*Deducted from LP proceeds before after-tax IRR*
After-Tax IRR	Newton-Raphson on LP CFs with exit tax deducted	*Asset-level; not investor K-1 allocation*
1031 Exchange	Exit Tax → $0 (perfect deferral)	*Ignores 45-day ID / 180-day close rules*

Audit Verification. Every figure on pages 1–2 can be independently replicated by applying the formulas above to the deal inputs. The IRR is computed via monthly Newton-Raphson iteration (tolerance 1×10^{-8}) on the full monthly LP cash flow array — no simplified annual approximations. GP Promote Clawback (when enabled) is applied as a closing adjustment before final LP/GP totals are recorded. **Tier Consistency Check: PASSED.** Every enabled promote tier that should have received proceeds, given this deal's cumulative LP distributions, did. No tier was skipped while residual remained available and LP had not yet cleared that tier's hurdle. **Limitations:** This is a pro-forma projection, not an audit. Actual results depend on market conditions, operating performance, lender terms, and tax treatment. All inputs were user-supplied; this tool does not verify their accuracy. Users should engage qualified legal, accounting, and financial advisors before presenting projections to investors.

Development Deal Performance & Returns Report — Appendix B: Deal Proof Sheet

Every calculation with actual deal values substituted · Generated 2026-07-29 17:45

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This page replicates every figure from the summary by substituting actual deal values into each formula. Read left-to-right: item name · how it was computed (with real numbers) · the result. Every result on pages 1–2 traces back to a row on this page.

CAPITAL STRUCTURE

Total Project Cost	*User input*	**$10.00M**
Bank Loan	*$10.00M × 65.0% LTC*	**$6.50M**
Equity Required (Cost Basis)	*Total Cost − Bank Loan = $10.00M − $6.50M*	**$3.50M**
+ Day-0 Financing Costs (Equity-Funded)	*Rate cap + loan origination fee(s) added to equity basis*	**$163K**
+ Capital Calls (Refinance Shortfall)	*Additional common equity called after closing — see Risk & Coverage*	**$762K**
Total Equity Capitalized	*Cost Basis + Day-0 Fees + Capital Calls = $3.50M + $163K + $762K*	**$4.42M**
LP Equity	*$4.42M × 71.4%*	**$3.16M**
GP Equity	*$4.42M × 28.6%*	**$1.26M**

CONSTRUCTION LOAN & CARRY

Draw Factor	*S-Curve≈0.55*	**0.63**
Construction Int.	*Monthly balance-accrual simulation (capitalizing) — 0.63 Draw Factor shown below is the resulting avg-balance ratio, not a calculation input*	**$620K**
Total Bank Claim	*$6.50M + $620K*	**$7.12M**

PERMANENT LOAN

Perm Loan (LTV)	*$15.18M × 44.2% LTV*	**$6.70M**
Perm Fee	*$6.70M × 1.00%*	**$67K**
Annual DS — I/O phase (24 mo)	*$6.70M × 6.00% (interest only)*	**$402K/yr**
Annual DS — P&I phase (after I/O)	*$6.70M × 7.7316% annual constant (25-yr amort)*	**$518K/yr**
DSCR (P&I basis)	*$648K ÷ $518K (P&I DS)*	**1.25x**

REFI EVENT — PERM LOAN FUNDING

GP Mgmt Fee (refi)	*Construction arrears settled from refi proceeds*	**—**
LP Pref (refi)	*Construction arrears settled from refi proceeds*	**—**
GP Pref (refi)	*Construction arrears settled from refi proceeds*	**—**
LP ROC (refi)	*Equity returned from refi proceeds*	**—**
GP ROC (refi)	*Equity returned from refi proceeds*	**—**
GP Catchup (refi)	*None at refi*	**—**
LP Residual (refi)	*T1 (80% split): $0 · T2 (>12.0% IRR): $0*	**—**
GP Promote (refi)	*T1 (20% split): $0 · T2 (>12.0% IRR): $0*	**—**

EXIT PRICING & SALE

Stabilized NOI	*User input*	**$648K/yr**
Exit Cap Rate (Target)	*User-set via slider (0.25% increments) — applied as-is, not back-derived*	**5.000%**
Exit NOI (Forward NOI)	*$648K × (1+2.00%)^8.0 over 8.0 ops yrs — ops cash flow escalates at this same rate every year starting Year 2 (see Annual Pro Forma), this is a separate forward-pricing figure, not a flat-NOI exit*	**$759K**
Gross Sale Price	*$759K ÷ 5.000% (Exit NOI ÷ cap rate)*	**$15.18M**
Stabilized YOC	*$648K ÷ $10.00M*	**6.48%**
Stabilized NOI Yield on Equity	*$648K ÷ $4.42M*	**14.64%**
Disposition Cost	*$15.18M × 2.00%*	**$304K**
Net Sale Price	*$15.18M − $304K*	**$14.88M**

EXIT WATERFALL — FROM SALE PROCEEDS

① Bank Principal	*$6.70M perm loan − $754K principal paydown (25-yr amort × 8.0-yr ops) = $5.95M at exit*	**$5.95M**
① Bank Interest	*Accrued at exit (if any unpaid)*	**Paid from ops**
② GP Mgmt Fee	*Remaining mgmt obligation at exit*	**Fully paid from ops**
③ LP ROC	*LP equity invested*	**$2.24M**
③ GP ROC	*GP equity invested*	**$1.26M**
④ LP Pref (exit)	*Remaining after ops/refi paid $0*	**$3.12M**
④ GP Pref (exit)	*Remaining after ops paid $0*	**$0**
LP Pref Shortfall	*None — fully covered*	**✓ None**
⑤ GP Catchup (exit)	*LP Pref Paid × (20% ÷ 80%)*	**$779K**
⑥ LP Residual (exit)	*T1: $503K × 80% = $402K · T2 (>12.0% IRR): $1.03M × 70% = $720K*	**$1.12M**
⑥ GP Promote (exit)	*T1: $503K × 20% = $101K · T2 (>12.0% IRR): $1.03M × 30% = $308K*	**$409K**
GP Clawback	*Not triggered*	**—**

OPERATING PERIOD (8.0 YRS)

Stabilized NOI	*User input*	**$648K/yr**
Monthly NOI	*$648K ÷ 12*	**$54K/mo**
Monthly DS	*Period-avg annual DS $457K ÷ 12 (blends I/O + P&I phases)*	**$38K/mo**
NOI Pool / mo	*$54K − $38K*	**$16K/mo**
DS Funding Source	*How DS was funded across ops period*	**Fully from NOI**
OS Reserve Status	*Restricted cash withheld at refi for DS coverage*	**— (none funded)**
LP Pref Accrual/mo	*(LP capital + unpaid LP pref) × 8.00% ÷ 12 — compound monthly (starts at $3.16M)*	**$21K/mo (at stabilization)**
GP Pref Accrual/mo	*(GP capital + unpaid GP pref) × 8.00% ÷ 12 — compound monthly (starts at $1.26M)*	**$8K/mo (at stabilization)**
LP Pref Paid (ops)	*From NOI over 8.0 yrs*	**$0**
GP Pref Paid (ops)	*From NOI over 8.0 yrs*	**$0**
LP ROC (ops)	*Equity return from NOI before promote*	**$922K**
GP ROC (ops)	*Equity return from NOI before promote*	**—**
GP Catchup (ops)	*Fully settled at exit*	**—**
LP Residual (ops)	*T1 (80% split): $0 · T2 (>12.0% IRR): $0*	**—**
GP Promote (ops)	*T1 (20% split): $0 · T2 (>12.0% IRR): $0*	**—**
GP Mgmt Fee (ops)	*Constr. carry: $3.16M × 1.50% × 2.00 yrs = $95K + Ops: $3.16M × 1.50% × 8.0 yrs = $379K → Full-hold static entitlement (reference only, ignores NOI-coverage timing/caps): $474K. Actual fee funded from ops NOI this period (right column) — paid from ops NOI*	**$474K**
LP TI/LC Cap Calls (ops)	*LP share of TI/LC (+ replacement reserve if applicable) shortfalls — non-deferrable, equity-funded*	**—**
LP Repl.Rsv Cap Calls (ops)	*LP share of Repl. Reserve shortfalls — only when Allow Deferral is OFF*	**—**
GP TI/LC Cap Calls (ops)	*GP share of TI/LC shortfalls*	**—**
GP Repl.Rsv Cap Calls (ops)	*GP share of Repl. Reserve shortfalls — only when Allow Deferral is OFF*	**—**

RETURN SUMMARY

LP ROC	*Capital returned (refi + ops + exit)*	**$3.16M**
LP Total Pref	*Paid $3.12M (8.00% on declining capital over 10.0 yrs — met ✓)*	**$3.12M**
LP Total Promote	*Ops + Refi + Exit*	**$1.12M**
LP Total	*$3.16M + $3.12M + $1.12M*	**$7.40M**
GP Total	*Mgmt Fee + ROC + Pref + Catchup + Promote − Clawback*	**$2.93M**
Equity Profit	*($7.40M + $2.93M) − $4.42M*	**$5.90M**
LP MOIC	*$7.40M ÷ $3.16M*	**2.34x**
LP IRR	*LP net cash flow by year: Y0 -$1.7M · Y1 -$938K · Y2 -$412K · Y3 +$160K · Y4 +$125K · Y5 +$71K · Y6 +$84K · Y7 +$98K · Y8 +$113K · Y9 +$127K · Y10 +$6.5M → rate where NPV = 0*	**10.72%**
GP MOIC	*$2.93M ÷ $1.26M*	**2.31x**
GP IRR	*GP net cash flow by year: Y0 -$671K · Y1 -$375K · Y2 -$80K · Y3 +$47K · Y4 +$47K · Y5 +$47K · Y6 +$47K · Y7 +$47K · Y8 +$47K · Y9 +$47K · Y10 +$2.5M → rate where NPV = 0*	**11.03%**

After-Tax proof (asset-level) — mirrors the in-app After-Tax breakdown; every figure re-derived with this deal's numbers. Estimates only, not tax advice.

AFTER-TAX — RETURN COMPARISON

Pre-Tax LP IRR	*LP net cash flow by year: Y0 -$1.7M · Y1 -$938K · Y2 -$412K · Y3 +$160K · Y4 +$125K · Y5 +$71K · Y6 +$84K · Y7 +$98K · Y8 +$113K · Y9 +$127K · Y10 +$6.5M → rate where NPV = 0*	**10.72%**
After-Tax LP IRR	*After-tax LP CF by year (pre-tax − op tax − exit tax): Y0 -$1.7M · Y1 -$938K · Y2 -$412K · Y3 +$160K · Y4 +$125K · Y5 +$71K · Y6 +$84K · Y7 +$98K · Y8 +$113K · Y9 +$127K · Y10 +$6.2M → NPV = 0*	**10.23%**
Tax Drag (IRR)	*10.72% pre-tax − 10.23% after-tax*	**0.49pp**
Pre-Tax LP MOIC	*$7.40M ÷ $3.16M*	**2.34x**
After-Tax LP MOIC	*$7.07M ÷ $3.16M*	**2.24x**

AFTER-TAX — DEPRECIATION

Property Type	*User input — sets 27.5 yr recovery period*	**Residential (27.5yr)**
Method	*User input — depreciation method*	**Straight-Line**
Depreciable Basis	*($10.00M cost + $620K cap. interest) × 75%*	**$7.96M**
Annual Deduction (avg)	*$7.96M basis ÷ 27.5 yr, averaged over 8.0 op yrs*	**$290K/yr**
Accumulated by Exit	*8.0 op yr × $290K/yr (IRS mid-month convention)*	**$2.29M**

AFTER-TAX — OPERATING-PHASE TAX

Cumulative Op Tax	*($648K NOI − $363K int − $290K dep − $50K capex) × 40.8% eff. ordinary × 8.0 yr*	**$0**

AFTER-TAX — EXIT-PHASE TAX

Sale Price	*Net sale price at exit (gross − disposition cost)*	**$14.88M**
Building (net of dep)	*$7.96M basis − $2.29M accum dep*	**$5.67M**
Land Basis	*Land allocation — not depreciated*	**$2.65M**
Total Adjusted Basis	*$5.67M building net of dep + $2.65M land*	**$8.33M**
Total Gain	*$14.88M sale − $8.33M adjusted basis*	**$6.55M**
§1250 Recapture (SL)	*$2.29M × 25.0%*	**$573K**
§1231 Cap Gain	*$4.26M × 23.8%*	**$1.01M**
OZ Exclusion (§1400Z)	*Appreciation gain excluded — hold ≥ 10 yr*	**−$1.01M**
Total Exit Tax	*Recapture + §1231 cap-gains tax*	**$573K**

AFTER-TAX — K-1 INCOME CATEGORIES (ASSET-LEVEL)

Ordinary Inc — Year 1	*NOI − interest − depreciation − capex (Year 1)*	**($54K)**
Ordinary Inc — Year 2+	*NOI − interest − depreciation − capex (stabilized year)*	**($54K)**
§1250 (SL dep recapture)	*Taxed at 25% recapture rate*	**$2.29M**
§1231 (appreciation gain)	*Taxed at LTCG rate*	**$4.26M**